Chinese Tech Is Cheap. How Much of the Cash Reaches You?

Hong Kong internet trades at a 44 to 46% discount to US peers at matched growth rates. Is it justified?



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I grew up in Hong Kong. I've watched the city's markets from both sides of the jurisdiction line. This post is about the gap between what Chinese internet companies earn and what investors are willing to pay for those earnings, and whether the gap is closing.

The short version

- At matched growth rates and comparable margins, Hong Kong internet companies trade at **44 to 46% discounts to US peers.** Growth does not explain the gap.
- **The discount does not come from weak payouts.** Tencent returns 2.4% of its market cap annually through dividends and net buybacks. Meta returns 1.4%.
- Cash generation is not the issue either. These are internet businesses with capital-light models and high cash conversion. Tencent generated RMB 37.6 billion in underlying FCF last quarter, while investing RMB 52 billion in AI infrastructure.
- **The discount prices in three things:** VIE ownership structure (low-medium risk), cash repatriation friction (low risk), and geopolitical tail risk (medium-high risk).

- NetEase trades at 11.7x forward earnings on 19% growth with 40% EBIT margins. Meta, at matching growth and margins, trades at 21.6x. The cleanest pair in this sample carries a **46% jurisdiction discount.**
- Bilibili trades at 13.9x on 18% growth, above the US reference for its current margins. The analyst target implies a re-rating that requires **both margin expansion and jurisdiction compression.**

The consensus case

Bank of America's September 2026 Fund Manager Survey analysed nearly 2,800 global active long-only funds. On average, they have moved to a benchmark-neutral weighting on China starting June, ending a four-year run of being underweight. The funds collectively manage $562 billion in Chinese stocks. BNP Paribas reported US institutional holdings of Chinese and Hong Kong equities reaching $466 billion. A September 2025 Morgan Stanley survey, the most recent available, found 90% of investors willing to increase China exposure, the highest share since early 2021. I looked for a more recent one. There isn't one.

“China's systematic ETF underweight is likely approaching a floor after the sharpest allocation reduction among major emerging markets," said BI analyst Rebecca Sin.

That's the flow argument: the marginal seller is out of the market, which removes a source of supply that has been suppressing multiples for four years.

“China does not need global investors to turn outright bullish for the market backdrop to improve; it may simply need them to stop cutting exposure," said Gary Tan, a portfolio manager at Allspring Global Investments.

Tan's point is the more important one: China doesn't need a bull thesis to rally. It needs the sellers to stop.

The case for China is simple: **Chinese tech is cheap, earnings are growing, and capital return programs are accelerating**. All three points are correct. The question is whether the cheapness compensates for risks present in **Hong Kong and absent in New York.**

Start with the cash.

Does the cash exist?

The first thing to check is whether reported profits translate to money the company can distribute. Internet businesses generally convert well: they collect upfront from advertisers and gamers, carry minimal inventory, and historically required little CapEx.

Tencent's Q2 2026 result illustrates the point. Non-IFRS net profit was RMB 68 billion. Operating CapEx was RMB 52 billion, up 190% YoY, driven entirely by AI infrastructure. Reported FCF was negative RMB 13.8 billion. Strip out the AI prepayments, and the underlying business generated **RMB 37.6 billion in cash in a single quarter.** The AI spend is a strategic choice, not a cost of running the business.

Martin Lau, Tencent's President, framed the investment against the full balance sheet on the Q2 2026 call (August 12, 2026):

> **"It should be measured against how much cash we have on our balance sheet, how much investment portfolio we have on our balance sheet and then the operating cash flow and then a prudent level of debt capacity."**

Tencent ended Q2 with RMB 58 billion in net cash, down from RMB 146.9 billion a quarter earlier.

The decline reflects capital allocation: AI infrastructure, dividends, and buybacks.

The cash is real.

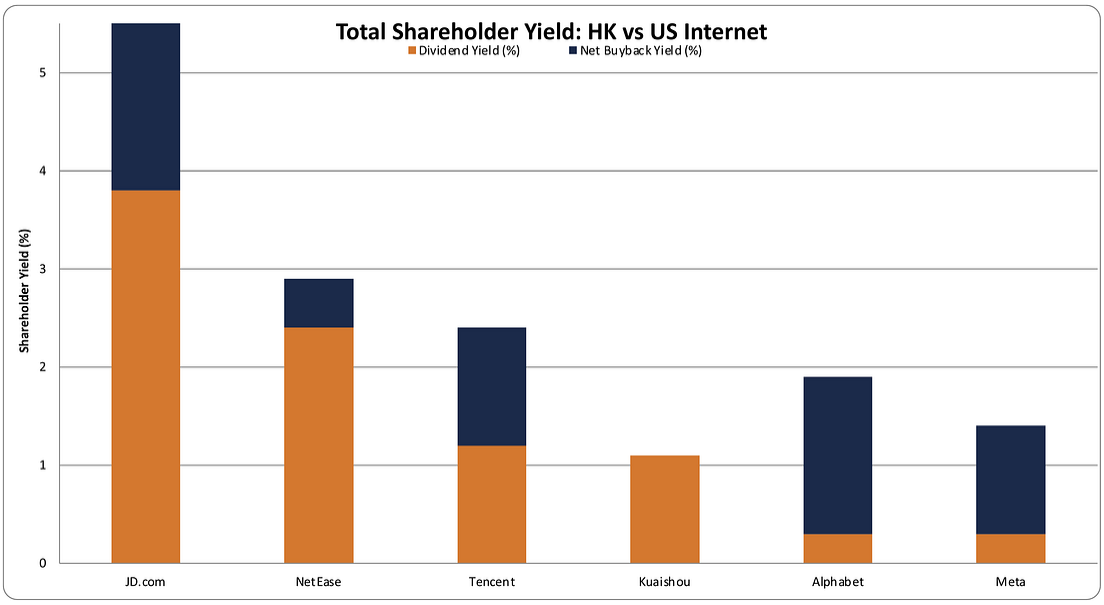
Does the cash reach shareholders?

The standard objection is that Chinese companies earn profits but never return them. This was true five years ago.

Shareholder yield is total cash returned to investors: dividends plus shares retired through buybacks, net of new shares issued as stock-based compensation. It measures what flows back to the people who own the stock.

Tencent's dividend yield is 1.2%. Its diluted share count fell from 9,695 million in FY2022 to 9,199 million this year, a net reduction of 1.2% per year. Total shareholder yield: approximately 2.4%. Its per-share dividend grew from HK$2.12 to HK$4.76 over the same period, a compound annual growth rate of 20%.

Meta's dividend yield is 0.3%. Its diluted share count fell from 2,702 million to 2,566 million over the same period, a net reduction of 1.1% per year. Total shareholder yield: approximately 1.4%.



Total shareholder yield = dividend yield (NTM) + net buyback yield (annualized diluted share count reduction, FY2022-Q2 2026 CAGR). Source: LSEG. Data as of September 30, 2026.

NetEase yields 2.4% in dividends with a 41% payout ratio. Its per-share dividend grew at roughly 18% per year over the past four and a half years. Total yield including buybacks: roughly 2.9%.

JD.com yields 3.8% in dividends alone, with a 70% payout ratio.

Alphabet yields 0.3% in dividends with a 1.6% annual net share reduction. Total yield: about 1.9%.

Among the profitable companies in this sample, the Hong Kong names return more cash to shareholders than the US names. The "Chinese companies hoard cash" narrative has not been accurate since at least 2023.

Fourteen names, two markets

I compiled forward multiples, consensus growth, margins, and payout data for eight Hong Kong-listed Chinese internet companies and six US peers. The sample covers social media, e-commerce, gaming, and digital advertising.

Hong Kong names (sorted by forward P/E):

Hong Kong-Listed Chinese Internet - Forward Multiples

Company	Ticker	NTM P/E	2Y EPS CAGR	EBIT Margin	Div Yield
JD.com	JD	6.7x	21.3%	1.2%	3.8%
NetEase	9999.HK	11.7x	18.9%	40.2%	2.4%
Tencent	700.HK	11.9x	5.8%	32.9%	1.2%
Bilibili	9626.HK / BILI	13.9x	18.3%	4.7%	-
Alibaba	BABA	13.6x	36.8%	7.2%	1.0%
Xiaomi	1810.HK	18.7x	neg.	4.0%	-
Meituan	3690.HK	20.6x	turnaround	2.8%	-
Kuaishou	1024.HK	10.3x	neg.	8.3%	1.1%

Sorted by forward P/E. Median NTM P/E: 12.8x. Source: LSEG. Data as of September 30, 2026.

US names

US Internet - Forward Multiples

Company	Ticker	NTM P/E	2Y EPS CAGR	EBIT Margin	Div Yield
Pinterest	PINS	8.0x	20.9%	-	-
Reddit	RDDT	21.8x	75.8%	28.8%	-
Meta	META	21.6x	18.0%	41.4%	0.3%
Take-Two	TTWO	29.3x	60.5%	0.5%	-
Alphabet	GOOGL	20.8x	19.2%	34.2%	0.3%
Roblox	RBLX	NM	loss-making	neg.	-

Sorted by forward P/E. Median NTM P/E: 20.7x. Source: LSEG. Data as of September 30, 2026.

The HK median forward P/E is 12.8x. The US median is 20.7x. **On headline multiples, Hong Kong trades at a 38% discount.**

Growth does not explain the gap

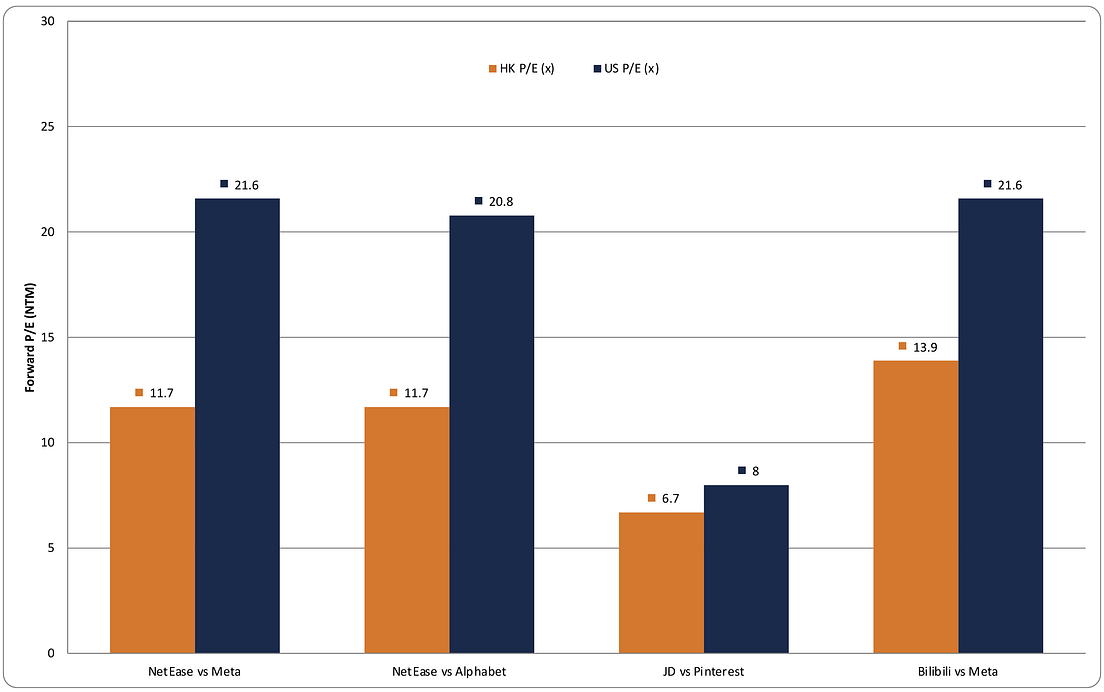
A lower multiple could price lower growth. To isolate the jurisdiction discount, compare companies at similar consensus growth rates.

NetEase vs Meta. NetEase grows EPS at 18.9% per year. Meta grows at 18.0%. NetEase runs 40% EBIT margins. Meta runs 41%. The financial profiles are nearly identical. NetEase trades at 11.7x. Meta trades at 21.6x. Discount: 46%. One earns its margins from gaming, the other from advertising. Revenue models differ. The growth and margin match is the closest in this sample.

Alphabet, at 19.2% growth and 34% margins, trades at 20.8x against NetEase at 11.7x. Discount: 44%. The margin gap is wider (6 percentage points vs 1 for Meta), but the discount lands in the same range.

JD.com vs Pinterest. JD grows at 21.3%. Pinterest at 20.9%. JD runs 1% EBIT margins. Pinterest runs negative 4%. Growth rates match, but the companies sit on opposite sides of breakeven. JD trades at 6.7x. Pinterest at 8.0x. Discount: 16%. The margin divergence makes this the weakest pair.

Bilibili vs Meta. Bilibili grows at 18.3%. Meta at 18.0%. Growth rates match, but the comparison stops there. Meta runs 41% EBIT margins. Bilibili runs 5%. Pinterest, EBIT-negative at 21% growth, trades at 8.0x. Bilibili trades at 13.9x, still above the US reference for its margins. The market is pricing Bilibili's margin trajectory, not its current margins. This makes the Bilibili/Meta pair a growth-outlook bet, not a clean jurisdiction comp.



Forward P/E (NTM) for matched-growth pairs. Source: LSEG. Data as of September 30, 2026.

The pattern holds at every matched growth rate where margins also match. The Hong Kong name always trades cheaper. The gap ranges from 44% to 46%. Where margins diverge, as with Bilibili, the market prices expected margin expansion into the multiple, and the jurisdiction component is harder to isolate.

One note on base effect: growing EPS at 18% from Bilibili's revenue base (roughly $5 billion) requires less absolute dollar growth than 18% from Meta's ($220 billion). Forward consensus already reflects analyst views on sustainability, but the comparison prices growth rate, not the difficulty of achieving it.

Three risks, rated

If cash generation and payouts do not explain the discount, three features of Chinese internet companies do. The first two risks are low. The third is not, and it's the one the market prices most heavily.

VIE: Low to medium risk. Shareholders do not own the Chinese operating company. They own shares in a Cayman Islands holding company that controls the operating entity through contracts called a Variable Interest Entity arrangement. VIEs have been used for over twenty years. No Chinese court has unwound one in the internet sector. Beijing has tolerated them because they channel foreign capital into domestic companies. The risk is a future regulatory change, not judicial precedent. Low-probability, but the legal basis remains untested.

Cash repatriation: Low risk. Chinese companies must set aside 10% of annual net income as a statutory reserve until the reserve reaches 50% of registered capital. In plain terms: a portion of each year's profit is locked up and cannot be paid as a dividend, functioning as a mandatory retained earnings buffer under Chinese company law. Most mature internet companies have already passed the 50% threshold, so this no longer binds. Dividends from a Chinese subsidiary to its offshore parent face a 10% withholding tax. Large capital transfers require approval from China's foreign exchange regulator (the State Administration of Foreign Exchange). In practice, every mature internet company in this sample has been paying and growing dividends for years. The friction is real. It has not prevented cash from reaching shareholders.

Geopolitical tail risk: Medium to high risk. This is the largest risk and the hardest to size from filings. US-China tensions could produce sanctions on individual companies, restrictions on US investment in Chinese technology, or disruptions to ADR listings.

In 2020, the US passed a law (the Holding Foreign Companies Accountable Act) requiring that US regulators be allowed to inspect the auditors of Chinese companies listed on American exchanges, or those

companies would be delisted. China allowed the inspections in 2022, and the delisting threat was resolved, but that access could be revoked.

Four of the eight Hong Kong names also trade on US exchanges: Alibaba (BABA, NYSE), JD.com (JD, Nasdaq), NetEase (NTES, Nasdaq), and Bilibili (BILI, Nasdaq). Tencent trades over-the-counter as TCEHY. These listings provide some hedge against single-market disruption, but not against a broader investment ban. The escalation of AI export controls, chip restrictions, entity-list expansion, and potential curbs on model-sharing adds a dimension that did not exist in prior cycles. If controls tighten, companies dependent on US-origin AI infrastructure face supply risk.

The US AI boom has also widened the absolute performance gap with Hong Kong tech since 2023, even as the companies on both sides increasingly compete in the same markets. China's domestic AI progress, from DeepSeek to Tencent's Hunyuan, is building an alternative stack, but the transition is incomplete, and the regulatory trajectory is unpredictable.

One risk that cuts both ways: dual-class voting, called Weighted Voting Rights (WVR) on the Hong Kong Stock Exchange, gives founders control through shares with higher voting power. Bilibili, Xiaomi, Meituan, and Kuaishou use WVR in this sample. Tencent and NetEase do not; their founders control through ownership stakes, not weighted voting. In the US, Meta, Alphabet, and Reddit use dual-class. This is a founder-control risk present on both sides of the Pacific.

What the discount means for a single company

NetEase is the cleanest test. It grows EPS at 18.9% per year with 40% EBIT margins. Meta grows at 18.0% with 41% margins. Growth and

margins match. NetEase trades at 11.7x. Meta trades at 21.6x. If the discount compresses halfway, NetEase re-rates to roughly 17x, **about 43% above today's HK$192.60.** Both trade in the US: NetEase as NTES on Nasdaq, Meta as META. The discount is not about listing venue.

Bilibili is the harder case. It grows consensus EPS at 18.3% per year, matching Meta. But at 13.9x, it already trades above where a US company at its current margins would trade. The mean analyst target of HK$205, based on 19 analysts who unanimously rate it a Buy, implies a re-rating toward roughly 24x. That requires both margin expansion and jurisdiction discount compression. Whether the target is achievable depends on the margin trajectory as much as the investor's view of the three risks above.

What would change the thesis

The discount narrows if Chinese companies maintain the current pace of payout growth, if regulatory clarity around VIEs improves, or if US-China tensions ease. It widens if a VIE is challenged in court, if capital controls tighten, or if sanctions expand to individual companies.

The more probable path for the sector is gradual compression as capital return programs mature and the track record lengthens. Gradual, because dividends and buybacks grow one quarter at a time. The gap between actual and priced risk is the investable part.

One of the three risks, repatriation, has demonstrably de-risked since 2022. VIE risk is unchanged, though four more years of continuous dividend payments have demonstrated it isn't binding in practice. Geopolitical risk has not meaningfully declined. The market is pricing all three as though 2022 conditions still hold.

But the sector trade is not the only trade. Within a cheap market, the names with company-specific catalysts can re-rate on their own timeline. A game launch, a margin inflection, a revenue print that forces six brokers to upgrade their models at once. The jurisdiction discount is the tailwind. The company-specific catalyst is the thesis.

The next piece covers Bilibili in full. The question that stays with me: does the margin trajectory close the gap to the US comps before the jurisdiction discount closes the multiple gap.

The full Bilibili thesis, including a bottom-up financial model and segment-level analysis, is coming in the initiation report and Q2 2026 update.

Sources: LSEG I/B/E/S consensus estimates, TIKR Terminal. Analyst recommendations from LSEG as of September 30, 2026. Fund flow data: Bank of America Global Fund Manager Survey (September 2026), BNP Paribas (Q4 2025 US institutional holdings), Morgan Stanley Asia investor survey (September 2025). Share count and dividend data from company income statements via TIKR Terminal, LSEG. Tencent Q2 2026 earnings call transcript (August 12, 2026).